

General Dynamics

Business Development Dossier

Industry	Defense & Aerospace
Revenue	\$54.5B
Employees	115,000
Ideal Customer Profile Score	90

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name General Dynamics Corporation

Headquarters Reston, Virginia

Founded 1952

Ownership

Public (NYSE: GD); widely held institutional ownership. CEO Phebe Novakovic has led since 2013.

Footprint

Shipyards: Groton CT (Electric Boat - submarines), Bath ME (Bath Iron Works - destroyers), San Diego CA (NASSCO - auxiliary ships). Gulfstream: Savannah GA. Combat Systems: Sterling Heights MI, Lima OH, multiple international. GDIT: Falls Church VA, nationwide. 115,000 employees across U.S. and international operations.

SECTION 1b

Company Overview

General Dynamics is a diversified defense and aerospace company with a record \$118B backlog (+30% YoY) and \$179B estimated contract value. Operating across Aerospace (Gulfstream), Marine Systems (submarines at Electric Boat and Bath Iron Works, surface ships at NASSCO), Combat Systems (tanks, vehicles), and Technologies (GDIT - IT/cybersecurity), GD faces the organizational challenge of delivering on the largest backlog in company history while managing a critical shipyard workforce shortage.

SECTION 2

Financial Health & Growth Stage

Understanding General Dynamics's financial position and trajectory is critical to framing any engagement conversation.

Revenue: 2026 guidance \$54.3-54.8B. FY2025 grew strongly with 1.5x book-to-bill. Record \$118B backlog (+30% YoY); total estimated contract value \$179B (+24%).

Profitability: Operating margins guided to 10.4% for 2026 (+20bps). Aerospace margins ~14%. Marine margins improving but constrained by labor costs and program complexity. EPS guidance \$16.10-16.20 for 2026.

Segment Outlook: Aerospace (Gulfstream) \$13.6B revenue; Marine Systems \$17.3-17.7B; Combat Systems \$9.6-9.7B; Technologies ~\$13.5B.

Key Pressures: Shipyard workforce shortage (can't hire fast enough for \$53B Marine backlog); Bath Iron Works labor challenges; Virginia-class submarine production delays; Gulfstream G700/G800 certification timeline.

Key Tailwinds: Record defense backlog; Virginia-class submarine demand (national priority); Gulfstream demand from ultra-high-net-worth individuals; GDIT federal IT demand; NATO allies increasing defense spending.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Kevin Graney - President, Electric Boat [INFERRED] [PRIORITY TARGET]

Leads submarine construction - Virginia-class and Columbia-class - at the Groton CT shipyard

Outreach rationale: Electric Boat is ground zero for the \$53B Marine backlog - building both Virginia-class and Columbia-class submarines simultaneously in a workforce-constrained shipyard. The organizational coordination between two nuclear submarine programs sharing the same facilities, trades workforce, and supply chain is the most complex industrial challenge in defense. McChrystal's operating model directly addresses this dual-program coordination.

Chuck Krugh - President, Bath Iron Works [INFERRED] [PRIORITY TARGET]

Leads DDG-51 destroyer production at Bath, Maine; managing labor relations and production efficiency

Outreach rationale: Bath Iron Works faces acute workforce and production challenges - destroyer program execution under labor constraints. The shipyard's organizational culture, union dynamics, and production coordination needs align with McChrystal's operating model for safety-critical manufacturing environments.

Additional leadership team members relevant to the engagement:

Phebe Novakovic - Chairman & Chief Executive Officer

Former CIA officer; 12+ years as GD CEO; ranked among Fortune's Most Powerful Women; deep strategic and operational leader

Jason Aiken - EVP & Chief Financial Officer

Long-tenured CFO; manages capital allocation across diverse portfolio

Mark Burns - EVP & President, Gulfstream

Leads Gulfstream through G700/G800 certification and production transition

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how General Dynamics operates today and where friction exists.

Organizational Structure

Four business segments with significant autonomy: Aerospace (Gulfstream), Marine Systems (Electric Boat + BIW + NASSCO), Combat Systems, Technologies (GDIT). Corporate center in Reston, VA provides financial oversight and strategic direction. Novakovic's leadership style emphasizes segment accountability - each president runs their business with significant independence. The organizational challenge: coordinating across segments when Marine Systems needs shared corporate resources (talent, capital, executive attention) that other segments also demand.

Culture Signals

Operational Discipline Culture: Under Novakovic (former CIA), GD has a culture of quiet execution - no flashy announcements, just results. This creates strong program discipline but can limit cross-segment information sharing.

Shipyard Heritage Culture: Electric Boat and Bath Iron Works have century-old shipbuilding cultures. These are craft-based organizations where skills pass through apprenticeships and institutional knowledge resides in veteran tradespeople. The workforce crisis threatens this knowledge transfer.

Segment Independence: Each segment operates with significant autonomy - which drives accountability but creates silos. Marine Systems' \$53B backlog demands enterprise-level attention that the segment-autonomous model may not support.

Labor Relations Complexity: Bath Iron Works has a history of contentious labor relations (machinists' union). Electric Boat's workforce challenges are more about recruitment than relations. Each shipyard has distinct labor dynamics.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging General Dynamics.

1. 2025-12-01 - Record \$118B backlog achieved; Marine backlog surged 38% to \$53B with Virginia-class Block V contract

Largest backlog in GD history creates organizational scaling demands that existing systems may not support - particularly in capacity-constrained shipyards

2. 2025-10-01 - Virginia-class Block V contract awarded for two submarines including special mission variant

Most complex submarine variant yet - adds technical and organizational complexity to an already strained shipyard production system

3. 2026-01-01 - Shipyard workforce shortage identified as binding constraint on Marine backlog conversion

The organizational challenge: recruiting, training, and retaining skilled tradespeople (welders, pipefitters, electricians) in a competitive labor market while maintaining nuclear-quality standards

4. 2025-06-01 - Gulfstream G700/G800 production transition underway; targeting 160+ deliveries in 2026

Aircraft model transition requires organizational coordination between design, production, certification, and customer delivery

5. 2026-01-28 - FY2025 results beat forecasts; 2026 guidance: \$54.3-54.8B revenue, 10.4% margins, \$16.10-16.20 EPS

Strong financial performance creates investment capacity for organizational improvements; shareholders expect

continued execution on record backlog

SECTION 6

McChrystal Fit Assessment

Massive organizational complexity (115,000 employees, \$118B backlog, safety-critical shipbuilding). The shipyard workforce challenge is the clearest entry point - it's an organizational coordination problem (recruiting, training, retention, quality) not just an HR problem. Novakovic's long tenure and successful track record create a 'if it ain't broke' barrier. Rating moves to Strong if: shipyard production delays become visible, or if the dual-program coordination at Electric Boat (Virginia + Columbia) creates execution gaps. McChrystal's military credibility resonates strongly in submarine/naval culture.

Primary Problem

Converting the largest backlog in company history (\$118B, including \$53B in Marine Systems) into delivered platforms - while shipyard workforce shortages, dual submarine program execution (Virginia + Columbia at Electric Boat), and Bath Iron Works labor challenges constrain capacity. The organizational coordination between workforce development, nuclear-qualified production, supply chain management, and quality assurance across three shipyards is the binding constraint.

Best McChrystal Capability Fit

Safety-critical production coordination in constrained environments - GD's shipyards build nuclear submarines and warships where organizational failure has national security and safety consequences. McChrystal's military experience in high-consequence operational environments provides unique credibility. The Team of Teams model connects autonomous shipyard operations (Electric Boat, BIW, NASSCO) into a coordinated Marine Systems enterprise. Novakovic's CIA background creates cultural affinity with McChrystal's military leadership approach.

Likely Objections to Engagement

Novakovic has run GD successfully for 12+ years - she doesn't need external help
Shipyard challenges are labor/workforce issues, not organizational design
GD's segment-autonomous model is intentional and successful
Defense shipbuilding is a highly specialized domain

Competitive Advisory Landscape

McKinsey - defense strategy, production optimization
BCG - operational transformation
Internal: GD has deep program management capability built over decades
Specialized: shipbuilding-specific consultants

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With Electric Boat running Virginia-class and Columbia-class simultaneously in the same shipyard, how are you coordinating two nuclear submarine programs that share trades workforce, facilities, and supply chain?

Specific question about the most complex production coordination challenge in U.S. defense. Shows deep understanding that dual-program execution is an organizational challenge, not just a scheduling challenge.

2. The Marine backlog grew 38% to \$53B - but converting that into delivered ships requires workforce that doesn't exist yet. How is the organization approaching the workforce development pipeline at the speed the backlog demands?

Frame workforce as an organizational coordination challenge (recruiting + training + retention + quality + production) rather than an HR problem.

Recommended Meeting Framing

Frame as a conversation about coordinating complex operations in constrained environments - McChrystal's experience managing multi-unit military operations where resources were scarce and stakes were highest. The submarine/naval connection is genuine: McChrystal coordinated operations with Navy special warfare units throughout his career.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects General Dynamics's market positioning to potential McChrystal engagement opportunities.

Brand Value: General Dynamics carries a premium brand in defense (Electric Boat submarines, Abrams tanks) and luxury aviation (Gulfstream). The Gulfstream brand is the gold standard in business aviation. The defense brand stands for quiet, reliable execution - unlike flashier competitors.

Brand Threats: Submarine production delays would damage the most important customer relationship in defense (U.S. Navy). Bath Iron Works labor challenges are publicly visible. Any quality incident in nuclear submarine construction would be catastrophic.

McChrystal Connection: GD's brand promise of reliable defense delivery depends on shipyard execution - welders, pipefitters, and electricians building nuclear submarines to impossible tolerances. McChrystal's operating model ensures the organizational coordination between workforce development, production planning, quality assurance, and supply chain delivers on the brand promise.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing General Dynamics. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Dual Nuclear Submarine Program Coordination

Electric Boat is simultaneously building Virginia-class and Columbia-class submarines in the same shipyard. These programs share trades workforce, facilities, supply chain, and quality inspection resources. Coordinating two nuclear programs without either degrading the other requires the exact operational coordination methodology McChrystal pioneered for multi-mission military operations.

Fit Dimension 2: Shipyard Workforce Development as Organizational Challenge

Recruiting, training, and retaining nuclear-qualified tradespeople is a multi-year, multi-function coordination challenge spanning HR, training, operations, quality, and union relations. It's not an HR problem - it's an enterprise organizational problem that determines whether the \$53B backlog converts to delivered ships.

Fit Dimension 3: Multi-Shipyard Coordination

Three shipyards (Electric Boat, Bath Iron Works, NASSCO) with different programs, cultures, and labor dynamics must coordinate on shared resources, best practices, and enterprise-level priorities. McChrystal's Team of Teams connects autonomous units without destroying their operational independence.

9b. Cumulative Case

General Dynamics represents the defense-industrial coordination challenge at its most consequential: nuclear submarine programs where execution determines national security. Signal chain: Record \$118B backlog -> \$53B Marine backlog -> dual submarine programs -> workforce shortage -> shipyard capacity constraints -> national priority status. Revenue potential: \$400K-\$500K initial (shipyard coordination assessment), \$1M-\$1.5M deployment, \$400K ongoing. Total: \$1.8M-\$2.5M.

9c. Enterprise Issues

1. Dual Nuclear Program Resource Competition: Virginia-class and Columbia-class compete for the same skilled trades workers, facilities, and supply chain at Electric Boat. Every resource allocated to one program is unavailable for the other.
2. Workforce Pipeline Bottleneck: Nuclear-qualified welders take 3-5 years to develop. Current training pipeline doesn't match backlog growth rate. Knowledge transfer from veteran to apprentice tradespeople is the critical path.
3. Bath Iron Works Labor Dynamics: History of contentious union relations complicates workforce expansion and production improvement initiatives.
4. Multi-Shipyard Best Practice Sharing: Three shipyards with different cultures and capabilities operate relatively independently. Cross-shipyard learning is limited by geography, culture, and organizational silos.
5. Enterprise Attention Allocation: Marine's \$53B backlog demands disproportionate corporate attention relative to other segments - creating organizational tension in the segment-autonomous model.

9d. Expected Outcomes

1. Dual-Program Coordination Framework: Operating rhythm for Virginia/Columbia resource sharing at Electric Boat. Measurable: resource allocation conflicts resolved without program schedule impact. 2. Workforce Development Acceleration: Cross-functional coordination connecting recruiting, training, quality, and production. Measurable: time-to-qualified-welder reduced by 15%. 3. Multi-Shipyards Operating Rhythm: Cross-shipyards coordination cadence for best practices and shared resources. Measurable: cross-shipyards best practice adoption increasing. 4. Production Execution Discipline: Operating cadence for managing complex naval construction programs. Measurable: program milestones on-track with <10% variance.

9e. Key Stakeholders

CEO

Leader: Phebe Novakovic, Chairman & CEO
 Role: Enterprise leadership (CIA background)
 McChrystal Relevance: Executive sponsor - military/intel cultural affinity

CFO

Leader: Jason Aiken, EVP & CFO
 Role: Capital allocation
 McChrystal Relevance: Budget gatekeeper

Electric Boat

Leader: Kevin Graney [INFERRED], President
 Role: Submarines (Virginia + Columbia)
 McChrystal Relevance: Priority: Dual-program coordination

Bath Iron Works

Leader: Chuck Krugh [INFERRED], President
 Role: Destroyers (DDG-51)
 McChrystal Relevance: Priority: Labor/production coordination

NASSCO

Leader: [President]
 Role: Auxiliary ships
 McChrystal Relevance: Multi-shipyards coordination

Gulfstream

Leader: Mark Burns, EVP & President
 Role: Business aviation
 McChrystal Relevance: Model transition

Technologies

Leader: [President, GDIT]
 Role: Federal IT/cybersecurity
 McChrystal Relevance: Cross-segment coordination

9f. Opportunity Thesis

Why Now: Record \$118B backlog -> \$53B Marine backlog -> dual submarine programs -> workforce crisis ->

national priority. The organizational demands are growing faster than the existing systems can handle.

Why McChrystal, Not McKinsey: Submarine construction is safety-critical, classified, and steeped in naval culture. McChrystal's military credentials provide access that no civilian consulting firm can match. Novakovic's CIA background creates leadership-level cultural affinity with McChrystal's military/intelligence community roots.

Phased Engagement: Phase 1 (\$400K-\$500K): Electric Boat dual-program coordination assessment. Phase 2 (\$700K-\$1M): Multi-shipyard deployment + workforce development coordination. Phase 3 (\$400K retainer): Ongoing production cadence management. Total: \$1.5M-\$2M.

Multi-Threaded Pursuit: Electric Boat President (submarine coordination), BIW President (labor/production), Phebe Novakovic (CEO, CIA/military cultural bridge). Navy connections (submarine community); defense industrial events; Connecticut/Maine defense community.